

20 Jul 2026 05:03:53 ET | 10 pages

Gotion High Tech (002074.SZ)

Key Takeaways from China ESS and Battery Chain Tour

CITI'S TAKE

We hosted the 2026 China ESS and Battery Chain Tour and met with Mr. Liu Shenghua, IR Director, and Mr. Liu Qinfeng, Vice President of the IR department, Gotion High Tech on 15th Jul. The battery shipment is ~65GWh in 1H26, with fully capacity utilization ratio for ESS battery and ~70% utilization ratio for EV battery. The full year battery shipment guidance remains at 150GWh, including ~45GWh ESS battery. Key takeaways are as follows.

Battery shipment – The battery shipment is ~65GWh in 1H26, with fully capacity utilization ratio for ESS battery and ~70% utilization ratio for EV battery. The full year battery shipment guidance remains at 150GWh, including ~45GWh ESS battery. Gotion expects the battery output in 2H26E will be stronger HoH because of export VAT rebate cut off by year end.

Battery capacity – Effective battery capacity was ~150GWh at YE2025, including ~30GWh ESS battery capacity. Gotion has planned 40GWh ESS battery capacity addition, which will be in operation within 2026E and volume contribution mainly in 2027E. Mgmt. expects effective capacity to reach 260GWh in YE2026E, including 40GWh ESS battery capacity addition and 70GWh EV battery capacity addition during the year.

Overseas capacity – The Morocco battery project with 20GWh capacity is expected to be in operation in 2026E. The Slovakia battery project with 20GWh capacity and US battery project with 15GWh capacity will be later than Morocco, depending on demand.

Capex – The unit capex is ~Rmb100mn per GWh for domestic battery capacity and capex in overseas will be higher.

Cost pass-through – 1H26 gross profit margin was under pressure driven by hiking raw materials price. By end 1H26, Gotion has successfully pass through the hiking cost to most clients and mgmt. expects improvement in profit margin in 2H26E.

Buy

Price (20 Jul 26 15:00)	Rmb27.000
Target price	Rmb42.700
Expected share price return	58.1%
Expected dividend yield	0.4%
Expected total return	58.5%
Market Cap	Rmb48,998M US\$7,238M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Gotion High Tech

Valuation

We value Gotion Hi-Tech at Rmb42.70/share based on an EV/EBITDA valuation approach as it eliminates uncertainties related to capital structures. Using 15.1x 2026E EV/EBITDA, 0.5SD below the historical average since 2012 due to a slowdown in EBITDA growth relative to very high levels of growth reported historically, we derive a fair value of Rmb42.70. Our TP implies 39.0x 2026E P/E and 23.4x 2027E P/E

Risks

Downside risks that could cause the Gotion Hi-Tech shares to continue to trade below our target price include: 1) slower-than-expected capacity expansion ramp-up; 2) lower-than-expected product margins; and 3) worse-than-expected NEV demand.

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Appendix A-1

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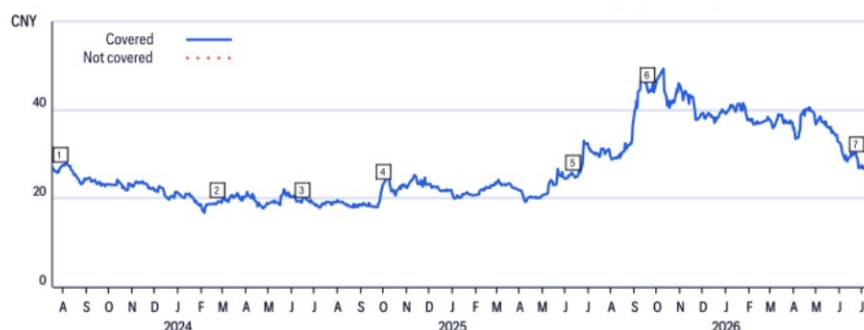
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Gotion High Tech (002074.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Shang, CFA



	Date	Rating	Target Price	Closing Price
1	28-Jul-23 03:11:29	1	*33.60	26.93
2	22-Feb-24 05:35:55	1	*23.70	18.97
3	14-Jun-24 08:47:02	1	*26.30	19.20

	Date	Rating	Target Price	Closing Price
4	07-Oct-24 09:38:25	1	*29.00	23.10
5	10-Jun-25 06:19:46	1	*29.30	25.31
6	17-Sep-25 07:52:37	1	*56.70	45.22

	Date	Rating	Target Price	Closing Price
7	23-Jun-26 12:27:18	1	*42.70	29.55

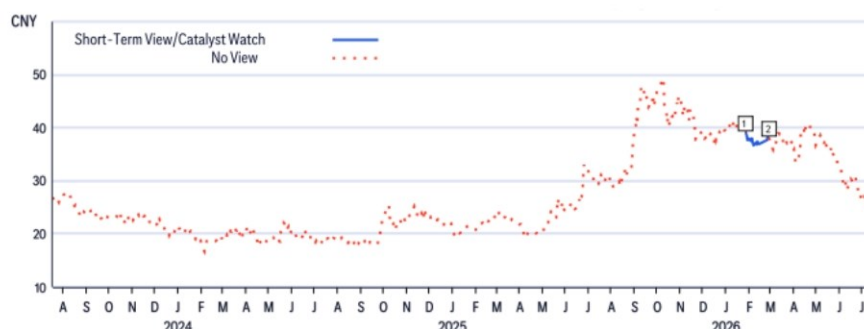
*Indicates Change

Rating/target price changes above reflect Eastern Time

Gotion High Tech (002074.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jack Shang, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	27-Jan-26 07:40:16	Add CW	Downside	30 Days	39.00

	Date	Action	Expected Direction	Duration	Closing Price
2	26-Feb-26 21:27:53	Remove CW	Downside	30 Days	38.07

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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